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Manufacturing Conference 2025

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Kaynes Technology India (KAYNES IN)

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Institutional Equity Research

Multi-Vertical ESDM Champion drives margin expansion by vertically integrating into PCB and OSAT.

Stock Information	
CMP (Rs)	5,357
Market Cap (Rs bn)	359
Free Float (%)	46.5
52 Week H/L	7,825/3,825
O/S Shares (mn)	67

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	57.8	53.5	53.5
FII / NRI	11.2	10.7	10.7
MF/DII	16.9	22.4	23.6
Others	14.1	13.4	12.2

➢ Management Conviction

The management communicated a strong long-term vision, stating a goal to achieve about $1bn in revenue by FY28 and approximately $2bn worth of business by FY30. This guidance was backed by a detailed strategic plan focusing on backward integration into high-margin segments like PCB manufacturing and OSAT. They demonstrated a deep understanding of the company's genesis and history, sharing anecdotes about its DNA—such as taking on difficult initial jobs, like manufacturing a signalling system for the Washington Metro that is still working, and quickly achieving ISO 9000 in 1995—to illustrate the company's commitment to working like a big company even when small. The management focused on systematically explaining the math behind the expected margin expansion, including how product redesigns (like in smart meters) and strategic component integration fundamentally alter profitability, all while highlighting that the future is secured by the large capital subsidies available for subsidized land, capital subsidies, and Production Linked Incentives.

➢ Strategic Takeaways

Kaynes Technology is actively transitioning from a pure-play Electronic Manufacturing Services (EMS) provider to a vertically integrated electronics and semiconductor platform, leveraging backward integration into high-margin businesses like PCB manufacturing and OSAT to materially alter its margin profile. This transition is expected to lift consolidated EBITDA toward the projected 22% range (with PCB EBITDA guided to approximately 50%), compared to the legacy EMS gross margin of 28–29%. The substantial combined capex for OSAT (Rs32bn) and PCB (Rs14bn) is heavily de-risked by government subsidies, which effectively provide up to 60% to 70% of the capital outlay in these "sunrise sectors" and dramatically improve asset turns. While the smart meter business demonstrated the company's ability to engineer margin improvement, contributing about 500 crores in FY25, management confirmed that the business mix is shifting, with future growth and incremental margin expansion driven by high-visibility opportunities in the railway (Kavach, electronic interlocking) and aerospace segments. Additionally, the company is building a new micro-satellite program, developed in collaboration with a retired Government of India technical team (with a live satellite targeted for launch in December), which has clear linkages to the adjacent drone technology ecosystem.

➢ Investor Questions (Key Areas Raised & Underlying Concerns)

Investor questions centred around three arcs: (i) sources and durability of margin expansion, (ii) execution and capital risk on the large projects, and (iii) working capital intensity. On margins, investors probed how much of the current uplift is smart-meter driven versus structural, what the steady-state looks like once OSAT and PCB scale, and how sustainable the ~40% smart meter gross margin is

on growth and capex, they sought clarity on the addressable opportunity and conversion probability in OSAT and PCB, the status and timing of capital subsidies for the OSAT project, and the extent to which the $1bn / $2bn revenue targets assume full ramp-up of these investments. There was also sharp focus on US tariff and market-route risk by analogy to other export-led names, though Kaynes' story is more domestic plus global OEM-facing than US-route dependent. On working capital, questions drilled into whether OSAT/PCB and new verticals will structurally lift or lower working capital days, and how quickly the current ~110 days can move towards the guided ~80–85 days as smart meter exposure recedes.

➢ What to Watch Over the Next 12 Months

Key markers over the next year will determine if the thesis of "EMS to integrated, high-margin electronics platform" tracks to plan:

- **Capex and subsidy milestones**: Progress on OSAT and PCB project approvals, visibility on capital subsidy and PLI sanction/disbursement, and evidence that land and infra build-outs are on schedule.
- **Business mix shift**: The pace at which railways (Kavach, EI) and aerospace scale through 2HFY25 and FY26, and how quickly smart meters normalise from being a margin crutch to a regular vertical.
- **Margin trajectory**: Evolution of consolidated EBITDA margins as PCB and other backward-integrated businesses start contributing; whether the "EBITDA keeps going up" commentary shows through in quarterly prints as mix tilts towards higher-margin segments.
- **Working capital discipline**: Movement in working capital days from ~110 towards 80–85 days, particularly as legacy smart meter receivables roll off and newer verticals (railways, aerospace, semiconductor) mature.
- **Execution in new tech bets**: Milestones in the micro-satellite program (dummy launch, then live launch) and early signs of revenue or partnership traction in space/drone-adjacent technologies.

➢ Risks/Concerns

- The profitability of new OSAT and PCB businesses relies heavily on accessing up to 60% to 70% of government capital subsidies; delays in subsidy approval for the OSAT project have already occurred due to administrative changes.
- Future growth is highly dependent on achieving full production in the railway (Kavach, electronic interlocking) and aerospace verticals, with aerospace orders currently awaiting approvals from entities like Honeywell.
- The legacy EMS business entails high working capital intensity due to managing 250,000 components and 400 customers; additionally, domestic clients tend to "stretch" payments compared to reliable foreign clients.

Our View: We see Kaynes in the middle of a structural mix upgrade, moving from EMS-driven, mid-teens margins towards a more durable, higher-margin integrated electronics model. High capex is counterbalanced by strong policy support in OSAT and PCB, which lowers balance-sheet risk and raises the odds of reaching the $1bn / $2bn ambition without outsized leverage. Recent smart meter-led margin gains look like a tactical bridge; the core thesis now rests on backward integration, scaling railways/aerospace and executing large projects with working capital discipline. If management delivers on capex execution, subsidy realisation and mix shift, Kaynes can do structurally higher-margin platform rather than just a scaled EMS player.

Financials (Rs)	FY23	FY24	FY25	CAGR(%)
Revenue	11,261	18,046	27,218	55.5
EBITDA	1,683	2,542	4,107	56.2
EBITDA (%)	14.9	14.1	15.1	
PAT	952	1,834	2,934	75.6
EPS (Rs)	19.6	30.2	45.4	75.6
CFO	(416)	877	(823)	
ROE (%)	9.9	7.4	10.3	
ROCE (%)	14.6	10.2	12.8	
D/E (x)	0.2	0.1	0.3	
Fixed Asset T/O (x)	8.5	5.7	3.2	

Diversification Story Accelerates with Data Centre Cooling and Non-Naval Opportunities

- **Management Conviction**

  Management conveyed strong clarity and conviction, reaffirming its position as a mission-critical HVAC supplier for naval warships with rare approvals across three naval directorates. The tone remained positive, underpinned by multi-year demand visibility from the naval shipbuilding pipeline and upcoming diversification into data centres and merchant marine opportunities. The team also highlighted its disciplined approach to capacity expansion, beginning with the first 1 lakh sq ft phase. Despite a margin-dilutive first half, management reiterated its long-term EBITDA margin guidance of 20%–22%, reflecting confidence in structural profitability.

- **Strategic Takeaways**

  SRL remains confident on its medium-term outlook, maintaining its 40% revenue CAGR and 20-22% EBITDA margin guidance despite 1H margin pressure from employee additions, tender fees and mix. FY26 is expected to close with Rs1.4-1.5bn revenue and a 13-14% PAT margin, supported by a strong Rs3.27bn order book and a Rs10bn bid pipeline across naval and non-naval marine. Capacity expansion is progressing with the first 50,000 sq ft phase taking total capacity to 1 lakh sq ft, scalable to 2.4 lakh sq ft and capable of supporting Rs5-6bn revenue without dilution. Multi-year visibility is reinforced by the Navy's plan for 200 ships by 2030 and 250 by 2035 under a Rs1.6 lakh crore shipbuilding programme. New engines such as data-centre cooling (supplies from FY27, moving to double-digit revenue share by FY28) and higher-margin retrofits add further upside. Operational gains delivery time cut to 30 months and working capital expected below 400 days support company's future roadmap.

- **Investor Questions**

  Investors were largely focused on the risk of emerging competition in naval HVAC, but management reiterated that the 5-10 years qualification cycle, stringent testing protocols, and integrated in-house manufacturing create steep entry barriers, making market-share dilution unlikely. Other queries centred on working-capital reduction initiatives, the expected timeline for margin normalisation, the revenue potential from upcoming data-centre projects, and how capacity utilisation will ramp up once the new facility becomes operational.

Stock Information

CMP (Rs)	208
Market Cap (Rs bn)	745
Free Float (%)	39.8
52 Week H/L	312 / 153
O/S Shares (mn)	35.6

Shareholding Pattern (%)

	Mar-25	Jun-25	Sep-25
Promoters	-	-	44.6
FII / NRI	-	-	0.7
MF/DII	-	-	9.6
Others	-	-	45.1

- **Risks / Concerns**

  Key risks remain centred around the business's structural working-capital intensity, with long naval receivable cycles of ~200 days continuing to exert pressure on cash flows. Revenue visibility, though robust, is heavily linked to shipyard execution timelines, making quarterly outcomes inherently volatile. The model also remains exposed to procurement and policy delays, where any slippage in defence budgeting or shipbuilding approvals can defer revenue recognition. Additionally, the company's dependence on sustained naval capex means any shift in government spending priorities could impact future order inflows.

- **Our View:** The most meaningful takeaway was management's confidence in two new scalable growth engines, Data Centre Cooling and Non-Naval Marine both of which meaningfully expand the company's addressable market beyond defence. These optionalities could structurally alter the company's growth trajectory from FY27 onward. The company is targeting FY31 revenue of Rs 10bn and Rs 1.2bn in PAT. However, achieving this would require building an order book of Rs 30bn (from the current ~Rs 3bn), which appears questionable.

Financials (Rs)	FY23	FY24	FY25	CAGR(%)
Revenue	506	803	987	39.7
EBITDA	119	241	269	50.3
EBITDA (%)	23.5	30.0	27.3	
PAT	26	104	126	120.1
EPS (Rs)	-	5.3	5.1	NA
CFO	(45)	(52)	(250)	
ROE (%)	10.8	18.9	11.6	
ROCE (%)	11.8	22.0	14.4	
D/E (x)	1.7	0.5	0.4	
Fixed Asset T/O (x)	4.9	7.6	4.4	

High-Precision Aero Tooling & Nuclear Engineering Franchise Poised to convert FAIs into Multi-Year Profitable Scale-Up

➢ **Management Conviction**

Management demonstrated strong command over operations, offering detailed explanations of product lines, manufacturing workflows and the multi-stage customer qualification process. They outlined clear FY29 aspirations: Rs 10 bn in revenue with a 60:40 mix between Tooling and Precision Components & Assemblies, an EBITDA margin of 30%, and a PAT margin of 20%, explicitly excluding any potential M&A contributions. Recent capacity additions of roughly 100,000 sq ft over the past ten months have taken overall utilisation to about 55 %, with a medium-term target of 85 %. Asset turnover, currently near 1.9×, is expected to improve toward 3-3.5× as ongoing first-article inspections (FAIs) and LTAs transition into full-scale production. Management addressed US tariff exposure, noting that any pricing adjustment would impact only around 30% of US-linked exports, thereby limiting margin pressure even under a discounting scenario. Capital allocation also received emphasis, with management reiterating the strategic intent to deploy roughly Rs 4bn toward accretive acquisitions while maintaining financial discipline and a minimum margin threshold of 25 % for potential targets.

➢ **Strategic Takeaways**

Unimech's aerospace tooling portfolio spans 4,000 tool varieties and 1,500 unique tools, including 950–1,000 SKUs for LEAP engines, 300–350 for Pratt & Whitney and 500 for Rolls-Royce, with tool lives of two to seven years and large engine stands priced at Rs2–2.5 mn seeing global demand of ~700 units monthly. Aerospace and tooling contribute ~80% of revenue, supported by high switching costs from certification and multi-year qualification. In Precision Components & Assemblies, Unimech is expanding across nuclear, semiconductor equipment, aerospace and defence: nuclear visibility is improving as India scales capacity from 8,800 MW to 100,000 MW, with Unimech approved for nine sub-systems and participating in Rs8–8.5 bn EMCCR tenders plus Rs10–15 bn new-reactor opportunities within a Rs150 bn market. Semiconductor machining should ramp from FY27, with 19 of 22 applied FAIs already qualified; defence exposure is rising through FAIs for Israeli OEMs and LTAs under evaluation with Tier-1 suppliers. The company is also developing 20 kg and 50 kg micro gas turbines for missiles and UAVs. Management maintains that diversification will not dilute margins, guiding for 60–63% gross margins and 30% EBITDA.

Stock Information	
CMP (Rs)	974
Market Cap (Rs bn)	49
Free Float (%)	62.12
52 Week H/L	1,524/850
O/S Shares (mn)	50.9

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	79.8	79.8	79.8
FII / NRI	0.4	0.2	0.2
MF/DII	7.8	6.4	6.5
Others	12.0	13.6	13.5

- **Investor Questions**

Investors focused heavily on US tariff exposure, given that about 90 % of revenue is export-linked with a significant share routed through US distribution before re-export. They sought greater clarity on the company's FTWZ strategy and its ability to mitigate tariff risks. Discussions also covered tooling and MRO order visibility, nuclear tender timelines and semiconductor conversion cycles. The micro gas turbine program was a recurring topic, with investors requesting clearer expectations on commercial timelines, scale-up feasibility and export potential. Separately, several investors asked for more detail on M&A priorities, including target geographies and execution timelines.

- **Risks / Concerns**

Company-specific concerns centred on dependence on aerospace tooling, long qualification cycles and the uncertainty around commercialising the micro gas turbine program. Industry-related risks included semiconductor cyclicality, elongated nuclear procurement timelines and competitive intensity from global tooling specialists in Europe and the US. Geopolitical concerns were largely tied to US tariff risks and the potential disruption to re-export channels, making the FTWZ approval and alternative-routing strategy important near-term variables.

- **Our View:** Unimech's multi-year growth visibility remains intact, supported by portfolio expansion, deeper integration and strengthening positions across aerospace, nuclear and semiconductor components. We maintain a positive view, with the next year hinging on execution across key milestones including FAI approval, LTA signings, nuclear and semiconductor order conversions, utilisation improvement toward 85%, working-capital discipline and M&A deployment. Importantly, FTWZ approval would be a material positive, as it would allow the company to mitigate tariff exposure on roughly 70% of its US distribution-linked exports meaningfully reducing pricing risk. Progress on these fronts will shape the company's trajectory toward its FY29 revenue target.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	942	2,088	2,429	60.6
EBITDA	346	792	921	63.2
EBITDA (%)	36.7	37.9	37.9	
PAT	228	581	835	91.3
EPS (Rs)	-	13.2	17.6	NA
CFO	14.0	469	814	
ROE (%)	46.7	53.5	12.5	
ROCE (%)	43.1	57.6	14.1	
D/E (x)	0.5	0.3	0.1	
Fixed Asset T/O (x)	3.3	4.0	1.5	

Strengthening Capabilities in High-Voltage Engineering and Global Grid Applications

➢ **Management Conviction**

Management demonstrated strong technical depth in high-voltage engineering and manufacturing, with discussions focused on execution and long-term operational drivers rather than short-term stock movements. They highlighted ongoing capacity expansion at the Sangli and Kochi plants, steady progress on commercialising and qualifying GIS instrument transformers with Hyosung, and strategic backward integration into magnet wire production and advanced test-lab capabilities. Project execution remains disciplined across subsidiaries, supported by an order book of about Rs 8.3 bn. Guidance for FY26 remains unchanged at Rs 7–8 bn in revenue and around 20% consolidated EBITDA margin, though the team may revisit this after Q3 due to tender seasonality. The US business continues to scale even with tariff pressures, supported by approvals across more than 120 countries. Management also noted that Indian supply chains remain selectively constrained because of restrictions on Chinese content. On inorganic growth, the company remains valuation-disciplined and indicated that updates on global opportunities or acquisitions may emerge in the near term.

➢ **Strategic Takeaways / Key Moments**

This quarter marked a clear shift in the company's positioning — from being a traditional coil supplier to becoming a full solution provider for global HVDC and FACTS grid applications. Capabilities are expanding across shunt reactors, STATCOM, harmonic filter reactors, capacitor banks, and high-voltage instrument transformers. The Sangli coil plant is progressing well toward becoming the largest coil-manufacturing site, with total capacity expected to scale more than 8-9x by June 2026, with order intake beginning in 2Q FY27E followed by a 6–9month execution cycle. Backward integration into magnet wire and new test-lab commissioning are intended to de-risk bottlenecks arising from BIS norms and component shortages. Competitive positioning against Chinese suppliers is strengthening, and management expects margins above 20% to be sustainable at scale. Financially, the company enters the capex phase with Rs 2.1 bn in cash and a 77% YoY reduction in net debt, while subsidiaries such as Endoks Energy continue to show healthy traction, building a stable operating base ahead of capacity additions through FY26–27E.

Stock Information

CMP (Rs)	719
Market Cap (Rs bn)	55
Free Float (%)	26.1
52 Week H/L	1,082 / 268
O/S Shares (mn)	77

Shareholding Pattern (%)

	Mar-25	Jun-25	Sep-25
Promoters	73.9	73.9	73.9
FII / NRI	4.0	2.0	2.1
MF/DII	8.8	6.0	5.9
Others	13.3	18.1	18.1

- **Investor Questions**

Investors focused heavily on visibility of HVDC and FACTS demand in Europe and the US, and management confirmed that enquiry volumes remain strong worldwide. Questions on execution delays particularly at Mehru Electrical & Mechanical Engineers Pvt. Ltd. were addressed with clarity, with management noting that machinery additions, manpower scaling, and a planned 45% capacity expansion by March 2026 should significantly ease the company reiterated that while 20% is the formal guidance, internal sourcing improvements and a richer product mix could lead to a gradual upward trajectory, though raw-material pricing and qualification timelines remain balancing factors. US tariff sensitivity was another recurring theme; management indicated that demand remains robust, but pricing can be influenced by tariff shifts, and backward integration should gradually reduce this dependency. On M&A, management confirmed that acquisitions will continue selectively where there is strong strategic or technology fit.

- **What to Watch - Next 12 Months**

The key monitorable remains the commissioning and ramp-up of the Sangli coil plant, which will determine how quickly the company can scale revenue from FY27 onward. The commercial rollout of GIS instrument transformers with Hyosung is another important driver, as this product line can materially improve both mix and global tender access. Backward integration milestones — especially the magnet-wire unit — will be critical for margin stability by reducing dependence on constrained suppliers and BIS-sensitive components. Subsidiary-level debottlenecking, including machinery additions and manpower scaling, should improve throughput over the next two to three quarters. Alongside these operational drivers, investors should watch working-capital discipline, order selectivity, and potential triggers from acquisitions or tariff/policy shifts in the US and Europe.

- **Our View**

The company is well placed to ride a multi-year global grid-upgrade cycle, and its shift from component manufacturing to full HVDC/FACTS solutions expands its market significantly. EBITDA margin guidance of ~20% looks achievable and potentially conservative as product mix improves and backward integration lowers costs. Strong cash reserves and a sharp reduction in net debt provide confidence ahead of the capex cycle, while subsidiaries like Endoks and Mehru are adding steady base growth. If execution on new capacity, GIS commercialisation, and internal sourcing progresses as planned, revenue visibility and margin strength should improve meaningfully through FY26–27E, supporting a re-rating case as the business scales into a more globalised, higher-technology player.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	2,533	3,018	3,367	15.2
EBITDA	322	389	653	42.4
EBITDA (%)	12.7	12.9	19.4	
PAT	399	555	1,002	58.5
EPS (Rs)	N.A	5.2	9.1	
CFO	443	515	625	
ROE (%)	35.6	36.2	23.6	
ROCE (%)	41.0	34.2	26.5	
D/E (x)	0.1	0.2	0.0	
Fixed Asset T/O (x)	6.4	4.6	1.4	

True Colors (TRUECOLO IN)

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Strengthening Its Vertically Integrated Digital Printing Ecosystem with Clear Execution and Expanding Recurring Revenue Visibility

- **Management Conviction:** True Colors' management demonstrates strong strategic clarity and operational confidence, reflected in their detailed articulation of both short-term business operations and long-term growth strategy. The leadership has positioned the company to leverage backward integration across the value chain—supplying digital printing machines, inks, and working with local manufacturers of sublimation paper—creating a more integrated and self-reliant business model. While competitor-specific technology nuances were briefly glossed over, the overall tone and depth of discussion reflected a forward-looking, execution-oriented mindset. The company's focus on digital textile printing, with European-imported machines and inks and India-based paper manufacturing.
- **Strategic Takeaways:** True Colors' growth is driven by its vertically integrated model supplying machines, inks, and paper—which ensures quality, cost control, and margin sustainability. The five-year plan focuses on scaling digital textile printing in India and selects international markets, expanding recurring revenue from consumables and maintenance, localizing high-end imported inks, and continuous product innovation. Key initiatives include strengthening brand presence, service networks, and strategic tie-ups in fashion, decor, and industrial textiles. Risks include raw material dependencies, price sensitivity, and import competition. Operational execution is highlighted by cost reduction successes, such as cutting chemical. Growth levers include increasing recurring revenue from consumables and maintenance contracts, expanding reactive printing capacity, replicating high-end imported inks locally, and continuous product innovation catering to both small-format and bulk printing clients. Strategic initiatives also target brand visibility, service network expansion, and selective partnerships with fashion, decor, and industrial textile sectors. Investment in R&D for advanced printing technologies and eco-friendly inks underlines the forward-looking approach.
- **Investor Questions:** Investors sought clarity on competition, pricing, and margin sustainability, focusing on market differentiation, scalability of backward integration, recurring revenue potential, and high-ticket machine sales. Management addressed these with data-driven responses, highlighting that ink and paper contribute recurring revenue of approximately ₹6–7 crore per 1 crore meters produced, ink gross margins of 25%, machine gross margins of 3–5%, and combined EBITDA of ~15%.

Stock Information	
CMP (Rs)	244
Market Cap (Rs bn)	6
Free Float (%)	31.1
52 Week H/L	272/174
O/S Shares (mn)	24.6

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	-	-	68.9
FII / NRI	-	-	2.3
MF/DII	-	-	10.8
Others	-	-	18.0

The discussion reinforced confidence in True Colors' ability to localize high-end imported inks, ensure supply consistency, and sustain margins, improving overall investor sentiment.

- **Risks/Concerns:** Company-specific risks include maintaining consistent quality and production yields as scale increases, sustaining ink and paper margins amid raw material price fluctuations, and successfully executing backward integration across machines, inks, and paper. Industry-specific risks involve competitive pressure from domestic players and imports, as well as ensuring continued adoption of digital textile printing in India. Geopolitical and supply chain risks relate to imported raw materials for machines and inks, though increasing localization of production helps mitigate this over time. Additional execution risks include expanding recurring revenue streams, scaling high-end ink replication, and integrating new partnerships or tie-ups effectively.

- **Our View:** The biggest insight is that True Colors' technical expertise and backward integration provide a defensible market position. Conviction in management is moderate to high, supported by clear execution and a well-articulated growth strategy. Over the next 12 months, key areas to monitor include recurring revenue growth from paper and ink, scale-up of reactive and supplementation printing, EBITDA (~15%) and gross margin trends (ink ~25%), high-ticket machine sales, and progress on backward integration. Customer retention and raw material cost control remain critical KPIs to assess trajectory.

- **Key KPIs & Milestones to Track (Next 12 Months):** Recurring revenue remains supported by steady paper and ink unit sales per month, improving revenue per meter, and rising penetration across supplementation and reactive clients, driving consistent monthly recurring inflows. Machine sales performance was healthy, with 89 machines sold in FY25, supported by robust revenue per machine, a rising share of high-ticket models, and broad-based segmental growth. Margin trends remain stable, with gross margin differentiation between ink and machines, EBITDA margins tracking toward ~15%, and ink margins holding near ~25%, while raw material movements continue to influence overall profitability. On the R&D front, the company has successfully replicated imported inks, launched white-labelled offerings, achieved key development milestones, and secured increasing adoption among major clients.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	807	1,601	2,337	70.2
EBITDA	56	140	412	172.0
EBITDA (%)	6.9	8.7	17.6	
PAT	39	83	247	151.0
EPS (Rs)	3.3	4.9	13.8	104.5
CFO	(205)	93	56	
ROE	61.4	56.5	44.5	
ROCE	22.1	19.1	37.1	
D/E (x)	3.1	3.9	0.9	
Fixed Asset T/O (x)	2,016.3	4.0	4.9	

Scaling a High-Value, Backward-Integrated Consumer Durables & EMS Platform

- **Management Conviction**

  Management struck a measured yet confident tone while acknowledging near-term challenges, including channel overstocking, a misread monsoon and a major customer default that have weighed on the RAC business. They reiterated their long-term ambition of scaling to Rs 100 bn in revenue, excluding the television JV, with 8-9% EBITDA margins, and provided transparent capex guidance of Rs 7 bn for FY26, including an unusually large Rs 2 bn allocation for land as part of the plan to double the gross block by FY27. ROCE aspiration remains at 17 to 18%.

  The discussion reflected strong technical depth with detailed references to capacities (400k IDUs, 300k ODUs, 50k window ACs per month), realisations (AC Rs 18,200; Washing Machines Rs 5,500; Refrigerator Rs 9,000) and value-add of Rs 2,500-3,000 per AC, reinforcing PG's operational integration and scale readiness.

- **Strategic Takeaways**

  The central strategic message was that capacity utilisation is normalising, with management expecting a meaningful improvement to around 80 % by December as demand returns and channel inventories stabilise from the exceptionally low sub-5 % utilisation levels seen in September supported by the fact that Q4 has historically contributed about 40% of annual revenue. FY26 guidance remains unchanged, with revenue of Rs 55–58 bn, EBITDA of about Rs 5 bn and PAT of roughly Rs 3bn, and consolidated group revenue of Rs 65.5–66.5 bn including Goodworth. Management also reiterated their expectation of reaching around Rs 7bn in EBITDA in FY27. Inventory, currently elevated at Rs 14 bn, is expected to normalise to Rs 6.5-7bn by december as channel correction and seasonal demand play out.

  PGEL's backward integration spans key AC components including PCBs, injection moulding, sheet metal, heat exchangers and final assembly, with 70–80 percent of in-house compressors consumed internally, supporting value capture and margin stability. The company now operates across ACs, washing machines, TVs, air coolers and components, underscoring its evolution into a more integrated consumer-durables manufacturing platform. At the Rs 100 bn revenue scale, PGEL expects its mix to comprise Room ACs at 50–55%, Washing machines at 10–15%, Refrigerators at around 5–10%, electronics at roughly 10 % and plastics at about 10 %. The company is also evaluating opportunities in 2-3 additional segments, including PoS machines.

Stock Information	
CMP (Rs)	588
Market Cap (Rs bn)	167
Free Float (%)	56.1
52 Week H/L	1,055/465
O/S Shares (mn)	285

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	49.4	43.7	43.6
- Pledged	-	-	-
FII / NRI	10.4	13	11.5
MF/DII	16.4	18.1	18.8
Others	23.8	25.2	26.1

- **Investor Questions**

  Investors were broadly focused on how quickly PG can stabilise its operating rhythm, especially around the pace at which elevated inventory can unwind and whether the planned utilisation recovery is achievable in the current demand environment. Many sought comforts on the company's ability to rebuild margins in a year marked by softer AC volumes, forex-related pressures and the inherent fixed-cost weight of a deeply integrated manufacturing model. Investors examined capital allocation, particularly given Rs 6.3 bn cash, the Rs 7 bn FY26 capex and the target to double gross block; management reiterated that debt levels should remain comfortable, and any incremental debt would be recoverable within a single working-capital cycle. Investors also sought an update on the compressor partnership, noting that regulatory approval is still pending; management confirmed that once operational, it would further support ROCE expansion.

- **Risks / Concerns**

  The pending regulatory approval for the compressor partnership remains an execution risk, as any delay could defer the expected uplift to ROCE that this initiative is intended to deliver. On the geopolitical front, India's relative cost disadvantage versus Thailand and Vietnam driven by duties on copper and steel input costs may limit long-term export competitiveness, while global supply-chain reconfiguration continues to create both opportunity and uncertainty. These risks create a backdrop in which PG must execute its recovery with discipline.

- **Our View:** FY26 volatility appears cyclical, with PG's core fundamentals supported by deeper integration, new capacity and a broader category mix. We remain constructively positive, with near-term performance hinging on inventory normalisation, utilisation recovery and ramp-up in refrigerators. Over the next year, key monitors will include utilisation trends, the inventory glidepath toward Rs 6.5-7 bn, progress at Ahmednagar and Sri City, while maintaining the margins in the 8-9 % range.

Financials (Rs)	FY23	FY24	FY25	CAGR(%)
Revenue	21,599	27,465	48,695	50.2
EBITDA	1,760	2,618	4,841	65.8
EBITDA (%)	8.1	9.5	9.9	
PAT	775	1,349	2,878	92.7
EPS (Rs)	3.4	5.2	10.2	73.2
CFO	457	1,885	(766)	
ROE (%)	19.6	13.2	10.3	
ROCE (%)	15.0	15.5	14.1	
D/E (x)	1.5	0.4	0.1	
Fixed Asset T/O (x)	3.7	3.5	4.3	

Management guided ~Rs 10bn FY27, scaling capacity 51.6k → 187.6k MT by FY29 with AI-led sourcing

- **Management Conviction**

  Srichakra's management outlined a clear, technology-led capacity expansion roadmap, scaling from 51,600 MT → 65,600 MT (FY26) → 113,600 MT (FY27E) → 187,600 MT (FY29E). The plan is backed by wider geographic reach, stronger raw material sourcing, and backward integration. Their long-term vision aligns with India's 9.4 mn-tonne plastic waste opportunity, supported by Srichakra Reclamations and strong compliance frameworks. Overall, management showed deep ecosystem understanding and disciplined execution.

- **Strategic Takeaways**

  Management outlined a clear revenue growth path, with scale expected to rise from Rs 3.7 bn in FY26 to Rs 7.9 bn in FY27E, Rs 15 bn in FY28E, and Rs 19 bn in FY29E, progressing toward the Rs 20 bn goal in FY30E. Momentum is already visible, with EBITDA at Rs 260 mn in FY25 YTD (vs Rs 9.5 mn in FY24) and PBT turning positive at Rs 1.90 mn in October 2025. Revenue targets remain firm at Rs 10 bn by FY27 and Rs 20 bn by FY30, driven by utilization ramp-up and improved polymer mix, extending beyond just bottle-to-bottle applications. FY27 is set to introduce two new value-added products created from in-process rejections, strengthening earnings diversity and resource efficiency. Capex plans add conviction, with Rs 1.8 bn in FY26, Rs 2.97 bn in FY27E, and Rs 1.95 bn in FY28E, supporting greenfield expansion across Tamil Nadu, Odisha, Uttar Pradesh, along with an acquisition in the western region. A distributed national footprint positions the company closer to both feedstock and customers, improving operating reliability and utilization stability.

- **Investor Questions**

  Investors focused on mainly on EPR norms, weak demand from big brands and margin trajectory post addition of value-added products. On EPR, management clarified that the change is only a deferment not a relaxation keeping enforcement intact and extending long-term growth potential. Regarding softer order flows from large brands, they acknowledged near-term volume weakness but highlighted that low customer concentration limits the impact and demand should recover as EPR compliance tightens. On machinery performance, they confirmed that earlier design issues have been resolved; the company is now importing high-quality equipment from China while gradually rebuilding in-house capability using acquired technical expertise. Using in house machinery dramatically lowers upfront capex.

- **Risks / Concerns**

  Recycled polymers usually sell at a premium compared to virgin material, which reduces the pricing spread between the two. Right now, virgin polymer prices are soft because of oversupply in the industry, which affects the competitiveness of recycled products in the short term. A key risk is that rapid capacity addition across the industry could intensify competition for raw material, potentially pressuring sourcing costs and squeezing margins if demand does not scale fast enough.

- **Our View**

  We believe Srichakra has built a structural moat around compliance + buyer qualification, enabling long-term earnings compounding as capacity utilises. Their sourcing integration through AI segregation fixes supply fragmentation and derisks utilisation ramp. With polymer mix expanding into food-grade rPET, rPP, rHDPE, and value-added earnings engines activating in FY27E, the next 12 months should mark a key inflection toward earnings conversion and profitability progression rather than revenue optics alone.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	1,080	1,090	2,260	44.7
EBITDA	79	100	240	74.0
EBITDA (%)	7.3	9.2	10.6	

Standard Glass Lining (SGLTL IN)

ashika
Institutional Equity Research

Capacity-Rich, Fast-Track Delivery, Sticky Customers, and a Clear Path to Higher-Margin Growth

- **Management conviction**

  The management has articulated a clear long-term ambition, setting a three-year target of Rs16–20bn in revenue and Rs2.0–2.6bn in profit by FY29, supported by a healthy order book of Rs7.5–8bn in one and one and half year. Their conviction is reflected in the company's rebranding to Standard Engineering Technology, signalling a deliberate rebranding to shift from being a glass-lined equipment manufacturer to becoming a broader engineering and technology solutions provider. The leadership is consciously moving the business model toward a fully integrated "concept-to-commissioning" approach, aiming to deliver complete project solutions rather than individual equipment. Overall, the tone is confident, forward-looking, and execution-focused, indicating strong belief in scaling beyond the traditional product-led business.

- **Strategic Takeaways:**

  To deliver on its FY28 financial goals, the company plans to increase the share of higher-value turnkey EPC work, deepen alliance-driven sales, and localise products like heat exchangers that are currently imported. Operating leverage will come from automation initiatives and the upcoming greenfield capacity. Recent acquisitions—Scigenics and C2C Engineering—along with global partnerships are central to strengthening design, engineering, and bioprocessing capabilities. A major near-term focus is the AGI Glassplast partnership, under which the company aims to manufacture glass-lined heat exchangers to replace graphite units, with 100 units targeted in the first scale-up year and eventual capacity of 250 units per month. The strategy appears credible, but successful execution will depend on achieving consistent production yields, securing customer offtake agreements, and demonstrating margin improvement through localisation and automation. Greater visibility on order book composition, capex rollout, and product-level margins will be critical for assessing the sustainability of this growth path.

- **Risks/Concerns**

  Management acknowledges pharma capex cyclicality, while the new strategy adds risks such as execution challenges in turnkey projects, working-capital stretch from longer cycles, integration risks from acquisitions and alliances, pharma customer concentration, licensing/royalty exposure, and technology or quality hurdles in scaling new heat exchanger production.

Stock Information	
CMP (Rs)	157
Market Cap (Rs bn)	32
Free Float (%)	12.5
52 Week H/L	214/124
O/S Shares (mn)	200

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	60.4	60.4	60.4
FII / NRI	2.6	2.5	2.7
MF/DII	2.2	1.0	1.1
Others	34.8	36.1	35.8

- **Topics repeatedly raised by investors:**

  Investors mainly focused on orderbook visibility, capex timelines for automation and the heat-exchanger ramp-up plan, especially unit economics and confirmed demand. They also questioned the company's ability to execute turnkey projects after recent acquisitions, and sought clarity on working capital, cash position, alliance terms, and high dependence on pharma customers. Overall sentiment was cautiously positive investors liked the strategic direction but wanted evidence through orders, contracts, capex progress, and successful pilot deliveries before fully backing the growth story.

- **Our View:**

  Standard Glass is moving from a basic equipment manufacturer to a fully integrated engineering solutions company, supported by acquisitions, global alliances, and a clear shift toward turnkey "concept-to-commissioning" projects. This strategy increases both its market size and margin potential, but long-term success depends on execution, especially the scale-up of glass-lined shell-and-tube heat exchangers and timely delivery of turnkey projects. We remain moderately positive: the strategic foundation is strong, but confidence will strengthen only after we see steady order-book visibility, consistent heat-exchanger offtake, timely project execution, and on-schedule capex rollout. Over the next year, we will closely track heat-exchanger ramp-up (volumes, pricing, margins), turnkey project progress, automation and greenfield capex milestones, working-capital control, alliance-driven revenue, and quarterly financial performance to assess the company's ability to meet its ambitious growth plans.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	4,986	5,437	6,137	10.9
EBITDA	858	949	1,074	11.9
EBITDA (%)	17.2	17.5	17.5	
PAT	534	600	687	13.4
EPS (Rs)	N.A	3.5	3.5	-
CFO	18	(650)	53	
ROE (%)	34.3	14.7	9.7	
ROCE (%)	33.9	17.1	14.0	
D/E (x)	0.5	0.3	0.1	
Fixed Asset T/O (x)	6.6	5.7	4.5	

Manorama Industries (MANORAMA IN)

ashika
Institutional Equity Research

From Forest Seeds to Global Fats; Manorama's Quiet Scale-Up to 1,00,000MT

➢ Management Conviction

Management came across as quietly confident and deeply immersed in the operational and technical aspects of the business, consistently steering the discussion towards sourcing strength, fractionation capability and customer-led capacity planning rather than headline growth or stock performance. They articulated a clear longer-term capacity roadmap, outlining Phase 1 at 52,000MT by 4QFY26 on the existing ~33 acres and an eventual scale-up towards ~1,00,000MT fractionation capacity with expected capex of ~Rs4.5bn on an additional ~20 acres near the current Chhattisgarh facility. Revenue potential of ~Rs18bn at full utilisation of the 52,000MT capacity was explicitly shared. At the same time, they refrained from near-term revenue or quarterly guidance, avoided quantifying offtake contracts or the extent of "pre-sold" capacity, and did not detail specific funding structures for the full capex plan. On margins, they were measured – guiding to a sustainable 25–27% EBITDA margin band over the medium term, contingent on product mix and utilisation, and repeatedly highlighting recipe stickiness, technical complexity of fractionation and long customer approval cycles as the structural supports. Overall, communication remained grounded in process, sourcing, approvals and customer behaviour rather than narrative-driven promises.

➢ Strategic Takeaways

Strategically, Manorama is positioned as a converter of "waste-stage" forest seeds (sal, mango kernels and shea) into high-value speciality fats for global chocolate and food companies, making it a niche ingredient player rather than a commodity oil processor. Roughly 60–70% of revenue is export-led, with presence across multiple countries and operating subsidiaries in West Africa, LatAm (Brazil) and the UAE, signalling early movement towards a multi-polar supply and commercial footprint. The core value-add lies in its specialty fat *fractionation* capability in India, which management treats as the key technical and IP-linked process. The next phase of strategy involves shifting primary processing closer to the raw material source in West Africa: currently, shea nuts are imported into India; the plan is to set up processing in West Africa so that crude shea butter is imported instead, improving yields and logistics while keeping the critical, higher value-add fractionation stages in India. Management framed capacity expansion not as speculative capex but as a response to visible and growing demand from global chocolate majors, with additional upside as customers gradually increase CBE/speciality fat usage within regulatory and recipe constraints. The "aha" from the discussion is that the true moat is a combination of sourcing depth (tribal networks, seasonal procurement at scale), specialised fractionation know-how and the embedded nature of their fats in customer recipes, rather than just installed capacity in tonnes.

Stock Information

CMP (Rs)	1346
Market Cap (Rs bn)	8.0
Free Float (%)	38.7
52 Week H/L	1,774 / 736
O/S Shares (mn)	59.7
3M Daily Avg Volume (mn)	15.4

Shareholding Pattern (%)

	Mar-25	Jun-25	Sep-25
Promoters	54.42	54.41	54.32
FII / NRI	2.81	3.40	2.52
MF/DII	5.14	4.61	4.45
Others	37.64	37.56	38.71

- **Investor Questions**

  Investor interest centred on the sustainability and scalability of the model: how far capacity can be ramped before margins start to normalise, how robust the demand visibility really is behind the 52,000MT and proposed 1,00,000MT capacities, and whether the current elevated margin profile is structurally defensible. Questions repeatedly probed the extent of customer commitments or LTAs, concentration risk with large chocolate and food majors, and the degree of pre-sold or contracted volumes. There was also emphasis on working-capital intensity and funding – given the seasonal nature of seed procurement, investors sought clarity on peak inventory build, banking lines and the ability to support both higher working capital and upcoming capex without stressing the balance sheet. Finally, investors explored potential competitive responses: what would prevent larger global fat processors from stepping into this niche as margins and visibility become more apparent, and how long the advantages from fractionation expertise, approvals and sourcing networks can realistically protect returns.

- **Investor Concerns**

  Underlying concerns included whether the 25–27% EBITDA margin band can be maintained once capacity scales meaningfully and the industry attracts more capital, whether demand for CBE remains as strong if cocoa prices normalise, and how vulnerable the model is to raw-material shocks (weak crop years or sourcing disruptions in India/West Africa). There were also softer questions around key-person and capability risk in specialised fat processing –how well institutionalised fractionation know-how and sourcing relationships are, and whether the business can maintain process discipline as it grows. Investors broadly accepted that approvals, recipe fit and process complexity create meaningful friction for new entrants, but some remained sceptical about how long this friction can offset the pull of high returns in attracting competition.

- **What to Watch Over the Next 12 Months**

  Key metrics and milestones to monitor over the coming year include progress on the 52,000MT fractionation capacity (project execution, commissioning and ramp-up), any concrete disclosures on funding structure for the broader ~Rs4.5bn capex towards ~1,00,000MT, and the evolution of capacity utilisation from current levels towards management's medium-term aspirations. On the demand side, signs of deeper penetration with existing global chocolate majors, onboarding of new customers or geographies, and movement in the share of non-CBE speciality fats will be important indicators of portfolio breadth and resilience. From a risk perspective, working-capital movements around the main procurement season, inventory days and cash generation, along with any commentary on raw-material availability in weaker crop years, will be watched closely. Together, these data points will help test whether Manorama can scale from a relatively small but niche processor into a larger specialty fat platform without diluting its margin structure or eroding the qualitative moat that currently underpins investor interest.

- **Our View:**

  Over the tenure of the conference, management helped clarify key investor queries and kept investors intrigued by the business. They came across as quietly confident and deeply immersed in operational and technical nuances (process, yields, sourcing, regulatory caps; CBE vs cocoa butter), handling detailed questions without deflecting. While queries regarding working capital funding alongside the planned capex were raised, they are confident of being able to meet both requirements as the planned expansion is led by customer demand. One key factor to watch would be management's ability to navigate any raw material shortages. Historically, as a relatively small processing unit, weather-related seed shortages have not materially impacted them; as capacity steps up, we should remain watchful on their ability to manage such supply-side disruptions.

Financials (Rs)	FY23	FY24	FY25	CAGR(%)
Revenue	3,508	4,571	7,708	48.2
EBITDA	565	735	1,910	83.9
EBITDA (%)	16.1	16.1	24.8	
PAT	298	401	1,121	94.0
EPS (Rs)	5.0	6.7	18.7	93.4
CFO	593	(1,535)	(587)	
ROE (%)	10.0	11.9	24.3	
ROCE (%)	12.7	10.7	19.9	
D/E (x)	0.4	1.0	1.0	
Fixed Asset T/O (x)	3.6	3.5	4.4	

Axiscades Technologies (AXET IN)

ashika
Institutional Equity Research

Building India's Next Integrated Aerospace–Defence–Semiconductor Powerhouse

➢ **Management Conviction**

Company's leadership demonstrates strong strategic clarity with a focused shift toward three core verticals—Aerospace, Defence and ESAI. This disciplined prioritisation, combined with the plan to recalibrate non-core areas, reflects a management team that is both pragmatic and growth oriented. The return of Dr. Sampath as Chairman and MD has strengthened the organisation's strategic direction. His deep experience across aerospace, defence and semiconductor ecosystems brings strong domain credibility and has helped shape the ambitious Power930 roadmap with clear milestones and execution visibility. The senior leadership bench has been refreshed with domain specialists across engineering, defence systems, manufacturing and semiconductor capabilities. This has enhanced the company's ability to execute complex programs, deepen customer relationships and scale high-value verticals. Operationally, management has shown strong discipline revenue per employee has risen, core-vertical attrition remains controlled, and capability-building initiatives across missile integration, automation and ESAI labs demonstrate forward readiness. The combination of strategic focus, execution depth and transparent communication positions the company well for sustained growth.

➢ **Strategic Takeaways**

- **Shift to Products:** The company is moving decisively toward a product-led model, targeting 80% product mix for scalable, non-linear growth.
- **Defence Momentum:** Strong wins in radars, EW, missile systems and counter-drone tech position defence as the key growth accelerator.
- **Aerospace Stability:** Recurring OEM demand and early traction in tooling strengthen aerospace as a steady, margin-accretive vertical.
- **ESAI Upscaling:** Deeper engagements with semiconductor OEMs and hyperscalers are transforming ESAI into a high-potential engine.
- **Infrastructure Expansion:** Large facilities under development will materially expand manufacturing and strategic electronics capacity from FY28 onward.
- **Pipeline Visibility:** A healthy order pipeline across core verticals offers multi-year visibility and supports the company's accelerated growth plan.

Stock Information	
CMP (Rs)	1,384
Market Cap (Rs bn)	58.6
Free Float (%)	41.8
52 Week H/L	1,779/ 432
O/S Shares (mn)	42.5

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	59.5	58.2	58.1
- Pledged	14.1	12.7	15.8
FII / NRI	0.7	1.6	2.2
MF/DII	2.0	1.3	1.2
Others	37.8	38.9	38.6

- **Investor Questions**

Key queries centred around the realism of Axiscades' ambitious growth targets, the timelines for high-value defence and ESAI programs, scalability of new infrastructure, visibility of recurring revenues, and the long-term potential of the semiconductor/ESAI initiatives.:

Q: Is the ~65–70% CAGR guidance towards FY30 achievable?

A: Management has multi-year visibility in defence, aerospace and ESAI programs through FY28, supported by rising product contribution and strong order wins. While ambitious, execution momentum so far lends credibility to the outlook.

Q: When will high-value defence platforms begin contributing meaningfully?

A: Loitering munitions depend on export approvals; anti-drone systems hinge on partner capacity; however, radar, EW, missile and MoD production orders are already active and expected to support near-term revenue.

Q: How scalable are the new aerospace–defence–ESAI facilities?

A: Growth for FY26-27 does not depend on the new complex. From FY28 onwards, utilisation of these facilities becomes a major driver of scale, margin expansion and higher ROCE.

Q: How much of the business is recurring or annuity-like?

A: Aerospace engineering and ESAI validation are steady, recurring streams. Defence programmes offer long-cycle visibility through electronics manufacturing, integration and multi-year production orders.

Q: What is the scalability and monetisation timeline for ESAI?

A: ESAI is poised for strong scale-up given semiconductor OEM demand and hyperscaler programs. IP-led monetisation should begin over the medium term as new labs, testing infrastructure and co-created IP mature.

- **Risks / Concerns:**

Execution Risk: Achieving the Power930 plan requires timely order book execution and delivery across product development, defence integrations and capacity scale-up.

Procurement Cyclicality: High dependence on defence and aerospace ordering cycles may create revenue volatility.

Partner & Licensing Dependence: Export approvals and partner-side capacity constraints could delay monetisation of key platforms.

Capex Utilisation Risk: Large ongoing capex may face utilisation delays or cost overruns, impacting margin and ROCE trajectories.

Product Transition Impact: The shift toward an 80% product mix may temporarily pressure margins and working capital during the transition phase.

- **Our View:** The company appears to be entering a structurally stronger growth phase, driven by a deepening defence electronics franchise, stable aerospace relationships and a rapidly scaling ESAI vertical. While execution particularly capex utilisation, partner-led programmes and product commercialisation remains the key swing factor, management depth, operational discipline and a visible multi-year order pipeline provide confidence. Even partial delivery of the Power930 roadmap could materially enhance the company's scale, profitability and market positioning, making it a compelling medium-term transformation story.

Financials (Rs)	FY23	FY24	FY25	CAGR(%)
Revenue	8,220	9,550	10,310	12.0
EBITDA	1,460	1,290	1,440	(0.7)
EBITDA (%)	17.8	13.5	14.0	
PAT	(52)	328	749	NA
EPS (Rs)	(1.4)	7.7	17.2	NA
CFO	706	789	883	
ROE (%)	(1.4)	5.7	11.6	
ROCE (%)	8.5	12.3	13.3	
D/E (x)	1.0	0.5	0.4	
Fixed Asset T/O (x)	2.6	2.3	2.6	

Domestic Engine Accelerates; Strategic Bets in Defense, Space and EMS Deepen Growth Visibility

➢ Management Conviction

Management communicated with clarity and confidence, highlighting strong execution in domestic BTS (orderbook to be at Rs20bn by FY26end as the company expects significant order inflows on the BTS side in Q3 & Q4) and EMS businesses while how the focus in terms of sectors is largely towards Defence, Space & Aerospace. Their commentary reflected a disciplined approach to margin expansion, with the Standalone business margin of 13-14% with 20% EBITDA from the BTS segment and 10% EBITDA from the EMS segment. The tone remained transparent on the challenges in Canada and Europe, outlining a clear strategy to divest or restructure these subsidiaries. Leadership continues to demonstrate a long-term mindset, strengthening partnerships with BEL, and GRSE while scaling system-level capabilities. Overall, the management's vision suggests a structurally stronger, more India-centric growth trajectory over the next three years.

➢ Strategic Takeaways

The company has been partnering with ISRO for various projects since the last 25 years while the company ventured into the defence sector in 2005. The standout theme was the strong domestic performance, with standalone revenue growing 18% in 2Q and margins expanding sharply due to a favourable shift toward higher-quality BTS revenues. The company reiterated its FY26 standalone growth guidance of 30%, supported by a solid 2H delivery schedule and new EMS orders already entering production. The BTS segment for the company is a high margin business with higher working capital days while the EMS segment has lower margins with relatively lesser working capital days creating a healthy balance. The consolidated picture remained dull due to subsidiary losses, but management provided reassurance that decisive steps on Canada (divestment) and Europe (strategic overhaul) are underway. Inventory build-up was explained as order-backed, signalling strong execution momentum in 2H.

➢ Investor Questions

Investors concentrated heavily on the timing and magnitude of subsidiary losses, with questions around when consolidated margins may normalize. Queries on guidance credibility centred on the company's ability to achieve 30% standalone growth, especially given the heavy reliance on H2 deliveries. Many questions focused on the BTS and EMS outlook, particularly order book size, conversion timelines, and expected pipeline over the next 2-3 years. Competitive benchmarking emerged as an area of concern, with investors asking whether the company could accelerate growth to match faster-scaling defence peers.

Stock Information	
CMP (Rs)	2300
Market Cap (Rs bn)	33.8
Free Float (%)	16.6
52 Week H/L	3,044 / 1,140
O/S Shares (mn)	10.4

Shareholding Pattern (%)	Mar-25	Jun-25	Sep-25
Promoters	51.5	51.5	47.0
FII / NRI	0.8	1.9	2.9
MF/DII	15.4	15.7	19.3
Others	32.3	30.9	30.9

- **Risks / Concerns**

A core company-specific concern remains the continued losses from the Canada and Europe subsidiaries, which overshadow otherwise strong standalone performance. Execution risk persists due to the inherently back-ended nature of BTS programs, which can make quarterly deliveries uneven and working capital cycles stretched. Industry-level risks include delays in defence procurement, slower ER&D spending in Europe, and potential pricing pressure in EMS. Geopolitical uncertainties could delay export-oriented programs or prolong macro weakness in Europe, affecting the pace of improvement in subsidiaries. Overall, the medium-term outlook is strong, but near-term noise from international operations remains a key monitorable.

- **Our View:**

With a strong pipeline, steady order inflows, and visibility of execution in H2FY26, Centum is well-positioned to deliver robust revenue growth and achieve double-digit EBITDA margins on standalone basis. Our conviction remains medium to high on the core India standalone business given margin recovery, strong customer additions, and improving order visibility, while we stay cautious on the consolidated picture until subsidiary actions are completed. Over the next few months, the most important triggers will be the closure of the Canada divestment, strategic direction for Europe, and conversion of large BTS opportunities such as space surveillance, EW payloads, and GRSE navigation systems. Key KPIs to track include standalone margins rising towards 13–14%, order book additions in BTS and EMS, and working capital improvements as 2H shipments ramp up. The company is structurally entering a stronger phase, but execution in overseas operations will be the key swing factor.

Financials (Rs mn)	FY23	FY24	FY25	CAGR(%)
Revenue	9,230	10,908	11,554	11.9
EBITDA	762	858	967	12.7
EBITDA (%)	8.3	7.9	8.4	
PAT	67	(28)	(19)	
EPS (Rs)	5.2	(2.1)	(1.3)	
CFO	709	2,018	(294)	
ROE (%)	3.2	(1.4)	(0.5)	
ROCE (%)	7.6	9.6	7.8	
D/E (x)	1.5	1.2	0.5	
Fixed Asset T/O (x)	4.2	4.6	5.3	

Corporate Office:

Altimus, Level 35, Dr. G.M. Bhosale Marg, Worli, Mumbai - 400018, Ph-022–63720000

Website: www.ashikagroup.com

Recommendation & Absolute Return (w.e.f. Jan 01, 2025)

BUY	Expected positive return of 15% or above in 1-year horizon
ADD	Expected positive return of > 0% to 15% in 1-year horizon
REDUCE	Expected return of 0% to -15% in 1-year horizon
SELL	Expected to fall by >15% in 1-year horizon
UR	**UNDER REVIEW** - Rating and fair value, if any, have been suspended temporarily
CS	**COVERAGE SUSPENDED** - Ashika Institutional Research has suspended coverage of this company
NC	**NOT COVERED** - Ashika Institutional Research does not actively cover this company

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Asutosh Kumar Mishra

Digitally signed by Asutosh Kumar Mishra
DN: cn=Asutosh Kumar Mishra, o=Ashika Stock Services, ou=Ashika Institutional Equity, email=asutosh@ashikagroup.com, c=IN
Date: 2025.12.03 12:40:46 +05'30'

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7) Research Analysts have not held positions as officers, directors, or employees of the companies mentioned in the report or recommendation.

8) Neither ASSL nor its Research Analysts have been engaged in market making activity for the companies mentioned in the report / recommendation.

Details of Associates

Sl No	Name	CIN/ LLPIN	Registration Number
1	Ashika Credit Capital Ltd	L67120WB1994PLC062159	RBI registered NBFC bearing Registration No 5.2892
2	Ashika Capital Ltd	U30009WB2000PLC091674	Merchant Banker bearing Registration No INM000010536
3	Ashika Stock Service (IFSC) Pvt Ltd	U65929GJ2016PTC094597	Stock Broker with NSE IFSC & India INX bearing Registration No - INZ000099630
4	Ashika Business Pvt Ltd	U45100WB2004PTC098055	NA
5	Ashika Properties Pvt Ltd	U70101WB2005PTC102582	NA
6	Ashika Global Securities Pvt Ltd	U65929WB1995PTC069046	RBI registered NBFC bearing Registration No - B.05.00008
7	Ashika Logistics Pvt Ltd	U67200WB2004PTC098054	NA
8	Ashika Global Finance Pvt Ltd	U01132WB1994PTC066087	RBI registered NBFC bearing Registration No - B-05.5583
9	Ashika Entercon Pvt Ltd	U70103WB2017PTC220511	NA
10	Ashika Wealth Management Pvt Ltd	U65999WB2018PTC227019	NA
11	Ashika Investment Managers Pvt Ltd	U65929MH2017PTC297291	Investment Manger to Ashika Alternative Investments, a Category III AIF bearing Registration No - IN/AIF3/20-21/0811
12	Ashika Commodities & Derivatives Pvt Ltd	U51909WB2003PTC096985	NA
13	Puja Sales Promotion Pvt Ltd	U51109WB1993PTC059596	NA
14	Dhara Dealers Pvt Ltd	U52190WB2011PTC169226	NA
15	Yaduka Financial Services Ltd	U51109WB2007PLC117012	RBI registered NBFC bearing Registration No - N.05.06760
16	Ashika Minerals India LLP	AAR-7627	NA
17	Ashika Vyapaar LLP	AAE-3310	NA
18	Ashika Ventures LLP (formerly known as Ashika Rise Realty LLP)	AAO-9947	NA